



CHAPTER xiii.

An Act to repeal the deeds of settlement of the Essex and Suffolk Equitable Insurance Society from the date of its registration as a limited company and to enlarge the scope of operations of the Society and to make provision for the future government of the Society and the management of its affairs and for other purposes.
[29th May 1906.]

WHEREAS by deed poll dated the twenty-eighth day of March 1804 (hereinafter referred to as "the deed of 1804") the subscribers thereto formed and established a voluntary office society or mutual contributionship by the name of the Essex Equitable Insurance Society (hereinafter in this Act referred to as "the Society") for the insurance of houses buildings goods merchandise and effects in any part of Great Britain (except the city of London and other places within ten miles from the Royal Exchange) against loss or damage by fire upon the terms and subject to the conditions thereafter expressed :

And whereas by the same deed it was among other things provided—

- (i) That all persons subscribing the said deed or some other instrument obligatory to the observance and performance of the articles and agreements therein contained or who should insure with the Society should be taken and deemed as members thereof (except as thereafter contained) and should have and bear their proportionate share of profits and losses during the respective terms of their respective policies and assurances as thereafter provided :

A.D. 1906.

- (ii) That it should be lawful for the directors to insure persons against loss by fire without such persons being members or becoming liable for losses or entitled to any share of the profits :
- (iii) That a general meeting of the Society should have full power to alter and amend the articles contained in the said deed or to make any additional rules or articles for the better and more successful or satisfactory management of the affairs of the Society so as all such alterations amendments or additions should be approved and confirmed by a second general meeting :

And whereas a general meeting of the Society duly held on the twenty-first day of April 1806 resolved (among other things) that in order to give additional security to the insurers a capital of twenty thousand pounds should be raised by subscription and that the name and style of the Society should be in future the Essex and Suffolk Equitable Insurance Society and the said resolutions were duly confirmed at a general meeting held on the twentieth day of May 1806 :

And whereas a general meeting of the Society duly held on the twenty-third day of September 1806 resolved (among other things) that in order to give greater stability to the Society a new deed of settlement should if necessary be prepared with the assistance of counsel in which the resolutions entered into at that meeting and also the resolutions entered into at the meeting on the said twenty-first day of April 1806 and the provisions contained in the deed of 1804 should so far as such resolutions and provisions should not appear to counsel to be repugnant to each other be introduced and that counsel should be at liberty to introduce into the new deed of settlement such other clauses and provisions not inconsistent with the existing deed and the resolutions entered into at the said meetings as they should think fit And the said resolutions were duly confirmed at a general meeting held on the twenty-fifth day of October 1806 :

And whereas in pursuance of the resolutions for that purpose entered into at the general meeting held on the twenty-first day of April 1806 a subscription was opened for raising the capital of twenty thousand pounds in twenty shares of one thousand pounds each and the said subscription was immediately filled up :

And whereas in pursuance of the resolution for that purpose entered into at the general meeting held on the twenty-third day of September 1806 an indenture or deed of settlement was prepared with the assistance of counsel and was together with certain other deeds referring thereto approved by a general meeting of the Society held on the fifth day of October 1807 and such approval was confirmed by a general meeting duly held on the second day of November 1807 :

And whereas the names of the subscribers of the said capital of twenty thousand pounds (being twenty subscribers of one thousand pounds each) were affixed to the indenture or deed of settlement now in recital (hereinafter referred to as "the deed of 1807"):

And whereas the deed of 1807 dated the first day of December 1807 provides among other things—

- (i) That the said several subscribers should be distinguished by the title of stock members and that the other persons being or who should become parties to the said deed or to the above-mentioned deeds referring thereto should be distinguished by the title of insured members and that the said several parties together with such other persons as should become stock members or insured members as thereafter mentioned should be and continue a Society by the name of the Essex and Suffolk Equitable Insurance Society :
- (ii) That the object and business of the Society should be to make or effect insurances against loss or damage by fire on houses and other property but (Article 111) no mortgage jewels books of account tallies bills notes securities for mortgage deeds writings or gun powder and no property situate within ten miles of the Royal Exchange or out of England and Wales should be insured by the Society :
- (iii) That two successive extraordinary general courts of the Society specially called for that purpose or the annual general court with one extraordinary general court specially called for that purpose should have full power to make any new laws regulations and provisions for the Society or to amend alter or repeal all or any part of the existing laws regulations and provisions of the Society Provided such new amended or altered

A.D. 1906.

laws regulations and provisions should not extend to amend alter or repeal the clause thereafter expressed against the individual responsibility of any stock member beyond his share in the said capital of twenty thousand pounds and against the individual responsibility of any insured member beyond the proportion thereafter mentioned :

(iv) That seven per cent. on so much of the said capital of twenty thousand pounds as should for the time being have been actually paid to the Society by the stock members should be allowed and paid half-yearly to the said stock members out of the funds or property of the Society :

(v) That the insured members should share in the surplus funds or property of the Society in proportion to the premium or sum total of premiums paid by them in respect of their policies at the time of each division among the insured members :

And whereas the capital stock of the Society now consists of twenty thousand pounds divided into twenty shares of one thousand pounds each on each of which the sum of one hundred pounds has been paid :

And whereas the business of the Society is very large and the number of insured members' policies now in force exceeds 52,000 and the number of policies granted to persons not being members exceeds 1,200 :

And whereas it is expedient to enable the Society to enlarge the field of its operations and to undertake the insurance of other descriptions of risks to property besides the risk of loss or damage by fire :

And whereas it is intended to register the Society under the Companies Acts 1862 to 1900 as a company limited by guarantee with a capital divided into shares :

And whereas a circular letter explanatory of the proposed changes in the constitution and objects of the Society was sent to all the members of the Society and the memorandum and articles of association set forth in the Schedule to this Act have been approved by two extraordinary general courts of the Society :

And whereas it is expedient to repeal the recited deeds of settlement and all resolutions amending the same and to declare

that the said memorandum and articles of association shall be the memorandum and articles of association of the Society: A.D. 1906.

And whereas the objects of this Act cannot be attained without the authority of Parliament:

May it therefore please Your Majesty that it may be enacted and be it enacted by the King's most Excellent Majesty by and with the advice and consent of the Lords Spiritual and Temporal and Commons in this present Parliament assembled and by the authority of the same as follows (that is to say):—

1. This Act may be cited as the *Essex and Suffolk Equitable Insurance Society Limited Act 1906.* Short title.

2. Within six months after the passing of this Act the Society shall be registered under the Companies Acts 1862 to 1900 as a company limited by guarantee with a capital divided into shares and on and from the date of registration of the Society under those Acts the Society shall be incorporated by the name of "The Essex and Suffolk Equitable Insurance Society Limited" and the deed of 1804 and the deed of 1807 and all resolutions amending the same shall be repealed without prejudice to anything done or suffered thereunder. Incorporation of Company and repeal of recited deeds.

3. On and from the date of the registration of the Society under the Companies Acts 1862 to 1900 the memorandum and articles of association of which copies are set out in the Schedule to this Act shall (notwithstanding anything contained in section one hundred and ninety-six of the Companies Act 1862) be the memorandum and articles of association of the Society in substitution for the deed of 1804 and the deed of 1807 and the resolutions amending the same but subject as regards future alteration to the Companies (Memorandum of Association) Act 1890 and to the provisions generally of the said Companies Acts. Substitution of memorandum and articles of association in Schedule for deeds.

4. All property real and personal which immediately before the passing of this Act was vested in or belonged to any trustee or trustees on behalf of the Society shall continue vested in or belonging to such trustee or trustees on behalf of the Society as incorporated under the said Companies Acts for the same estate and interest as immediately before the passing of this Act until sold or transferred or otherwise dealt with by authority of the directors of the Society under this Act and the memorandum and articles of association of the Society. Vesting of property.

A.D. 1906.

New shares
to be subject
to same
trusts as old
shares.

5. Any new shares issued in pursuance of the articles of association scheduled to this Act to stock members of the Society in substitution for the shares held by them before the registration of the Society shall be subject and liable to the same trusts powers provisions charges liens and incumbrances as immediately before the issue of such new shares affected the shares in substitution for which they are issued and every deed or other instrument and every testamentary or other disposition of or affecting the old shares shall take effect with reference to the whole or a proportionate part (as the case may be) of the substituted shares in the same manner and to the same extent as they would have done with reference to the shares for which they are substituted.

Registration
not to affect
obligations
incurred pre-
viously to
registration.

6. The registration of the Society in pursuance of the said Companies Acts shall not affect or prejudice the liability of the Society to have enforced against it or its right to enforce any debt or obligation incurred or any contract entered into by to with or on behalf of the Society previously to such registration.

Continuance
of existing
actions.

7. Any action arbitration or other legal proceeding which may at the time of the registration of the Society have been commenced and be pending by or against the Society or any person on its behalf shall not abate or be discontinued but may be prosecuted and continued by or against the Society as the case may be in like manner and with the like incidents as it might have been prosecuted or continued against the Society if such registration had not taken place nevertheless execution shall not issue against the effects of any individual member of the Society upon any judgment decree or order obtained in any action or proceeding so commenced as aforesaid but in the event of the property and effects of the Society being insufficient to satisfy any such judgment decree or order an order may be obtained for winding up the Society.

Policy
holders.

8. Notwithstanding the repeal of the deed of 1804 and the deed of 1807 or any other provision of this Act the holders of policies granted before the date of registration of the Society under the said Companies Acts (other than policies converted into membership policies under the articles of association of the Society) shall so long as those policies are in force have as regards the property insured thereby the same rights and remedies against the Society and the members thereof as they would have had against the Society and the members thereof if this Act had not been passed.

9. A printed copy of this Act shall be filed by the Society with the Registrar of Joint Stock Companies who shall receive and file the same and if such copy shall not be delivered to the Registrar within three months from the registration of the Society under the Companies Acts the Society shall incur a penalty not exceeding two pounds for every day after the expiration of the said three months during which the Society shall omit to deliver the said copy and every director and manager of the Society who shall knowingly and wilfully authorise or permit such default shall incur the like penalty and every penalty under this section shall be recoverable at the suit of the Crown and not otherwise There shall be paid to the registrar by the Society on such copy being registered the like fee as is for the time being payable under the Companies Act 1862 on registration of any document other than a memorandum of association.

A.D. 1906.
Copy of Act
to be filed.

10. The costs charges and expenses preliminary to and of and incidental to preparing obtaining and passing this Act shall be paid by the Society.

Costs of Act.

A.D. 1906. The SCHEDULE referred to in the foregoing Act.

MEMORANDUM OF ASSOCIATION OF THE ESSEX AND SUFFOLK
EQUITABLE INSURANCE SOCIETY LIMITED.

1. The name of the Company is "The Essex and Suffolk Equitable Insurance Society Limited."

2. The registered office of the Society is and will be situate in England.

3. The objects for which the Society is established are—

- (i) To grant and effect insurances against loss or damage to houses or property of any description by fire lightning storm earthquake flood accident or the commission of any crime or offence in the United Kingdom or elsewhere and generally to insure against any description of risk to houses or other property of any description in the United Kingdom or elsewhere :
- (ii) To re-insure or counter insure any risks against which the Society have for the time being power to insure :
- (iii) To acquire and take over the whole or any part of the business property and liabilities of any company society or association carrying on or formed to carry on either in the United Kingdom or elsewhere any business which the Society is authorised to carry on :
- (iv) To do all such things as may be incidental or conducive to the attainment of the above objects or any of them.

4. The capital of the Society is two hundred and fifty thousand pounds divided into twenty-five thousand shares of ten pounds each.

5. Every member of the Society undertakes to contribute to the assets of the Society in the event of the same being wound up during the time that he is a member or within one year afterwards for payment of the debts and liabilities of the Society contracted before the time at which he ceases to be a member and the costs charges and expenses of winding up the same and for the adjustment of the rights of the contributories amongst themselves such amount as may be required not exceeding one shilling.

WE the several persons whose names and addresses are subscribed are A.D. 1906.
desirous of being formed into a company in pursuance of this
memorandum of association.

Names Addresses and Description of Subscribers.

ARTICLES OF ASSOCIATION OF THE ESSEX AND SUFFOLK EQUITABLE
INSURANCE SOCIETY LIMITED.

I.—PRELIMINARY.

1. In these articles unless the context otherwise requires—

“The Society” means the Essex and Suffolk Equitable
Insurance Society Limited:

“The Old Society” means the Essex and Suffolk Equitable
Insurance Society:

“The office” means the registered office for the time being of
the Society:

“The directors” means the directors for the time being of the
Society:

“Special resolution” and “extraordinary resolution” have the
meanings assigned thereto respectively by the Companies
Act 1862:

“Month” means calendar month:

“Writing” includes print lithograph and any other substitute
for writing:

Words importing the singular number only include the plural
number and vice versâ:

Words importing the masculine gender only include the
feminine gender:

Words importing persons include corporations:

“Existing” means existing immediately before these articles
come into operation.

Interpreta-
tion.

2. The regulations contained in the table marked A in the First
Schedule to the Companies Act 1862 shall not apply to the Society.

Exclusion of
Table A.

[Ch. xiii.] *Essex and Suffolk Equitable Insurance Society Limited Act, 1906.* [6 EDW. 7.]

A.D. 1906.

II.—MEMBERS.

Description of members.

3. The following persons shall be members of the Society (that is to say) :—

- (a) Holders of a share or shares in the capital of the Society:
- (b) Holders of a membership policy of the Society as hereinafter defined.

Existing stock members.

4. To every existing stock member of the Old Society there shall be issued as soon as may be after these articles come into operation one hundred shares of ten pounds each with one pound credited as paid thereon respectively in substitution for every existing share in the Old Society of one thousand pounds with one hundred pounds paid thereon held by such member. There shall also be paid out of the funds of the Society to every existing stock member of the Old Society concurrently with the issue to him of new shares the sum of seventy-five pounds in cash in respect of every existing share in the Old Society held by such member.

As to existing share certificates.

5. The directors shall take all necessary and proper steps for the calling in and cancellation of the existing share certificates of the Old Society and for the issue of the new share certificates which are to be substituted for them.

III.—POLICIES.

Policy may embrace one or more risks.

6. A policy granted by the Society may embrace all or any one or more of the risks against which the Society has power to insure.

Two kinds of policy.

7. A policy granted by the Society may contain a statement by the insured that he agrees to become a member of the Society and to contribute to the assets of the Society in the event of its being wound up during the currency of or within twelve months after the expiration of his policy a sum not exceeding one shilling and such a policy is in these articles referred to as "a membership policy."

Every existing policy held by an insured member of the Old Society shall unless before the 1st day of January 1907 he signifies in writing to the Society his desire not to become a member of the Society be deemed to contain a statement by the insured to the above effect and to be a membership policy within the meaning of these articles.

A policy which neither contains nor is deemed to contain any such statement by the insured is in these articles referred to as "an ordinary policy."

Membership policy.

8. The holder of a membership policy becomes a member of the Society and as such entitled to participate in the profits of the Society as provided by these articles but not to be present or to vote at any meeting of the Society subject as hereinafter provided unless he be also the holder of a share or shares in the capital of the Society.

9. Every membership policy and every ordinary policy hereafter granted by the Society shall contain a declaration to the effect that the Society is only liable thereunder to the extent of its assets and property (including uncalled share capital) for the time being and that no member of the Society is liable individually (save in respect of the uncalled capital (if any) on his shares or in respect of his guarantee) to any call or contribution for satisfying the demands of the assured.

A.D. 1906.
Liability to be limited by policy.

IV.—CAPITAL AND SHARES.

10. A general court may from time to time resolve to increase the capital of the Society by the creation of new shares to be issued of such amount and in such manner and on such terms as may be deemed expedient.

Power to increase capital.

11. Subject to the provisions hereinbefore contained with respect to existing stock members all shares whether in the original or increased capital shall be under the control of the directors who may allot or otherwise dispose of the same to such persons on such terms and conditions and at such times as the directors may in their discretion think fit. Provided that (i) the directors shall give notice by advertisement in two London daily newspapers and in two local newspapers circulating in Essex and Suffolk of every intended issue of shares (ii) Shares shall only be issued to insured members (iii) Not more than one share shall be allotted to any insured member until every insured member applying for a share has received an allotment of at least one share (iv) The shares remaining unallotted after one share has been allotted to every applicant for a share shall be distributed amongst members applying for more than one share as near as may be in the proportion to the amount of the annual premium or premiums paid or payable by them in respect of the then current policy or policies held by them in the Society.

As to issue of new shares.

12. The Society may at any time by special resolution reduce its capital by the amount of all or any part of its increased capital but so that the nominal capital be not reduced below two hundred and fifty thousand pounds.

Power to reduce capital.

13. A person may not hold either solely or jointly with any other person or persons more than one hundred shares in the capital of the Society but this article shall not prevent any existing stock member from holding the number of shares allotted to him in pursuance of these articles in substitution for his existing shares.

Restrictions on number of shares to be held.

14.—(1) On demand of a shareholder the directors shall issue to him a certificate of his proprietorship in his shares called a share certificate.

Certificate of shares.

[Ch. xiii.] *Essex and Suffolk Equitable Insurance* [6 Edw. 7.]
Society Limited Act, 1906.

A.D. 1906.

(2) A shareholder is not entitled to have more than one share certificate in respect of each transfer of shares but the directors may if they think fit issue two or more share certificates to any shareholder on his request.

(3) A share certificate is *prima facie* evidence of the title of the person therein named as the shareholder.

New certificate
on transfer.

15. On the transfer of a share the Society on demand shall deliver a new share certificate to the transferee.

Renewal of
certificate.

16.—(1) If a share certificate is worn out or defaced then on production thereof the directors if they think fit may order the same to be cancelled and a new certificate to be issued in lieu thereof.

(2) If a share certificate is lost or destroyed then on proof to the satisfaction of the directors of the loss or destruction or in default of such proof on such indemnity as the directors deem adequate a new certificate in lieu thereof may be issued.

(3) An entry of the issue of a new certificate and of the indemnity (if any) shall be made in the books of the Society.

Provision as to
joint holders.

17. Where a share stands in the names of more persons than one the person first named in the register of shareholders shall be treated by the Society as regards the right to be present at meetings of the Society and to vote the right to a share certificate and the service of notices as if he were the sole holder thereof but the joint holders of a share are severally as well as jointly liable for the payment of calls in respect thereof and in case of the death of any of them the survivors or survivor are or is alone recognised by the Society as the holders or holder of the share.

Notification by
shareholders of
change of
address &c.

18. Any shareholder who changes his or her name or place of abode or being a female marries shall immediately give notice thereof in writing at the office of the Society and shall in such notice mention his or her new name and place of abode and in the case of a female who marries the name and place of abode of her husband and it shall be lawful for the directors to require such proof of the change in name and of marriage respectively as they may think fit.

Calls and mode
of payment.

19.—(1) The directors may from time to time make such calls as they think fit on the shareholders in respect of the amount unpaid on their shares.

(2) At least twenty-eight days' notice of call specifying the time and place of payment and to whom the call is to be paid is to be served on each shareholder.

(3) A call is made at the time when the resolution of the directors for the call is passed.

(4) Proof of the resolution is sufficient evidence of the call.

20.—(1) If a call on a share is not paid by the time appointed for its payment the holder for the time being of the share must (unless the directors otherwise decide) pay interest on the sum unpaid at the rate of five per centum per annum from the time appointed for payment till payment. A.D. 1906.
Interest on unpaid call and forfeiture on default of payment.

(2) The directors may at any time while a call or any part thereof remains unpaid after the time appointed for payment serve a notice on the holder of the share requiring him to pay the same with any interest accrued and all expenses incurred by the Society by reason of such non-payment and appointing a day not less than fourteen days from service of the notice and a place for such payment and stating that in case of failure to pay the share will be liable to be forfeited.

(3) In case of such failure the share may be forfeited by a resolution of the directors to that effect.

21. Such forfeiture involves as regards the forfeiting shareholder in respect of the forfeited share the extinction of all interest in the Society and of all demands against the Society and of all other rights incident to the share. Effect of forfeiture.

22.—(1) The forfeited share thereupon becomes the property of the Society and the directors may sell or otherwise dispose of the same as they think fit. Disposal of forfeited share.

(2) The directors may at any time before the share is disposed of annul the forfeiture on such conditions as they think fit.

(3) If the proceeds of a share so forfeited and sold are more than sufficient to pay all calls interest and expenses due thereon the surplus shall be paid to the forfeiting shareholder.

(4) If they are insufficient the forfeiting shareholder continues liable to pay to the Society the balance of the calls interest and expenses due at the time of the forfeiture but the directors may if they think fit compromise with him and remit the payment or any part thereof.

(5) A certificate in writing signed by two directors and countersigned by the secretary or other chief officer of the Society to the effect that a share has been forfeited on the grounds and at a time specified is conclusive evidence of the facts therein stated as against all persons who would have been entitled to the share but for the forfeiture.

23. The directors may receive from any shareholder all or any part of the money for the time being unpaid on any share held by him on such terms and conditions respecting payment of interest by the Society and other matters as the directors think fit. Payment in advance of calls.

24. Shares in the Society are transferable by deed truly stating the consideration and duly stamped The deed must be in the common form or in a form approved by the directors it must be executed by the Transfer of shares.

A.D. 1906. transferor and by the transferee and must be delivered to the Society for registration.

Refusal to register transfer.

25. The directors may without assigning any reason decline to register a transfer of any share or shares to any person whom they may deem ineligible as a shareholder.

Transfer by executors &c.

26.—(1) The shares of a deceased shareholder (not being a joint holder thereof) are transferable by his executors or administrators and that notwithstanding any specific bequest or disposition thereof and they alone are recognised by the Society as having any title thereto.

(2) The directors cannot be required to allow executors or administrators to transfer a share till the probate of the will of or the letters of administration to the deceased has or have been left with the Society for registration and the directors may require all the executors who have proved the will to join in the transfer.

(3) Every executor or administrator of a deceased shareholder who shall be desirous of becoming a shareholder in his own right in respect of the share or shares of such deceased shareholder shall give notice in writing at the office of the Society of such his desire and shall describe in such notice his name and place of abode and the number of shares in respect of which he is desirous of becoming a shareholder. If such executor or administrator shall be approved by the directors he shall within six months after such approval shall have been duly certified execute a deed of covenant to be prepared by the Society by which he shall covenant to observe all the articles of the Society and upon the execution of such deed of covenant he shall become a shareholder of the Society in respect of such share or shares.

Transfer in case of bankruptcy or lunacy.

27. A trustee or assignee of a bankrupt shareholder or a committee of the estate of a lunatic shareholder may on such evidence as the directors think fit and subject to the regulations of the Society respecting transfers transfer to some other person or persons the shares of such bankrupt or lunatic shareholder without being himself registered as a shareholder.

Evidence of title or capacity on transfer.

28. The directors before registration of the transfer of a share may if the circumstances of the case appear to the directors to make it expedient require evidence to be given by statutory declaration or otherwise as the directors think fit of the title of any person claiming a right to make the transfer or respecting the capacity of the proposed transferee.

Closing of register of share transfers.

29.—(1) The directors may close the register of share transfers during such time or times as they may think fit not exceeding altogether thirty days in any one year giving not less than twenty-eight days' previous notice by advertisement in two London daily newspapers and two local newspapers circulating in Essex and Suffolk.

(2) The persons who on the day of such closing are registered as holders of shares are as between them and their transferees entitled to the current half year's dividend payable thereon together with any bonus which may be payable with the said dividend. A.D. 1906.

30. The directors may charge such fee as they from time to time see fit to prescribe not exceeding five shillings in respect of any new share certificate or of the registration of a transfer of shares or of a deed of covenant. Fee for new certificate or registration of transfer.

V.—GENERAL MEETINGS OF QUALIFIED MEMBERS.

31. The only persons entitled to be present or to vote at meetings of the Society are hereinafter referred to as "qualified members" and are— Definition of qualified members.

- (a) Shareholders who are also insured members; and
- (b) Insured members not being shareholders who were insured members of the Old Society during the ten years immediately preceding the coming into operation of these articles and who become registered as qualified members by the Society.

32. Where a policy stands in the name of more than one person or in the name of a company or corporation the person first named in the register or the secretary manager or other principal officer of the company or corporation as the case may be shall be treated by the Society as regards the right to be present at all meetings of the Society and to vote and as regards the service of notices as if he were the sole holder thereof. Provision for joint policy holders.

33. The directors shall take all necessary and proper steps for the registration as soon as practicable in a separate register to be kept for the purpose of the names and addresses of all members of the Old Society entitled and applying to be registered therein within twelve months after these articles come into operation. Registration of insured members who are qualified members.

34.—(1) The general meetings of the qualified members of the Society are termed "general courts." General meetings of qualified members.

(2) One general court shall be held in every year in the month of April or such other month as the directors may fix and shall be termed the annual general court.

(3) All other general courts shall be termed extraordinary general courts.

(4) All general courts shall be held at the office of the Society or at such other convenient place as shall be fixed by the directors.

35.—(1) The business of the annual general court shall be to receive and consider the report of the directors and the accounts and balance Business of general courts.

A.D. 1906. — sheet certified by the auditor or auditors to fill up vacancies among the directors and auditors and to receive the declaration of the directors as regards dividends and bonuses to shareholders and the distribution of the profits of the Society.

(2) All other business is special and can only be transacted at an extraordinary general court.

Calling of extraordinary general courts.

36.—(1) The directors may whenever they think fit call an extraordinary general court and shall do so on a requisition in writing signed by twenty-five or more qualified members holding together not less than one tenth of the nominal capital of the Society or by any five directors. The requisition must specify distinctly the object of the required extraordinary general court and be left at the office of the Society.

(2) If the directors fail to do so for twenty-one days from the date of the delivery of the requisition the requisitionists or in the case of a requisition by qualified members any thirteen or more of them holding together not less than one twentieth of the nominal capital of the Society may themselves call an extraordinary general court to be held at a time not later than six weeks from the date of that delivery.

Notice of general courts.

37.—(1) Ten clear days' notice at least specifying the place day and hour of each general court and in case of an extraordinary general court specifying the purposes for which it is called shall be given by advertisement in two London daily newspapers and in two local newspapers circulating in Essex and Suffolk.

(2) Whenever a general court is adjourned for ten days or more at least three clear days' notice of the place and hour of the adjourned general court shall be advertised as aforesaid.

Quorum of general court.

38. To constitute a general court there must be present personally at least thirteen qualified members. Provided that seven qualified members personally present shall constitute a general court for the transaction of the business by these articles assigned to the annual general court.

Case of no quorum.

39. In case within one hour after the time appointed for a general court thirteen or seven qualified members (as the case may require) are not personally present the general court if called on requisition fails and shall not be held but if not so called the general court stands adjourned to the same day in the next week at the same hour and place and if within one hour after that hour thirteen or seven qualified members (as the case may require) are not personally present then the general court fails and is not held.

Chairman of general courts.

40.—(1) The chairman of the directors or in his absence the deputy chairman of the directors (if there be a deputy chairman) shall be the chairman at every general court.

[6 EDW. 7.] *Essex and Suffolk Equitable Insurance* [Ch. xiii.]
Society Limited Act, 1906.

(2) If neither of them is present within fifteen minutes after the time appointed for the general court the qualified members then personally present shall choose a director or other qualified member to be chairman of that general court. A.D. 1906.

41. A general court may adjourn from time to time and place to place but no business can be transacted at an adjourned general court other than the business left unfinished at the original general court. Adjournment of general courts.

42.—(1) Every resolution submitted to a general court shall be decided in the first instance by show of hands of the qualified members personally present and in case of equality of numbers on the show of hands the chairman as such has a second or casting vote. Decisions of questions at general courts.

(2) A poll cannot be demanded on the election of a chairman of a general court or on a question of adjournment.

43. At a general court a poll may be demanded in writing signed by any ten qualified members personally present but unless a poll is so demanded within fifteen minutes after a declaration by the chairman that a resolution has been carried or lost such declaration together with an entry to that effect in the minutes of the proceedings of the general court shall be conclusive evidence of the fact. Evidence of resolutions Demand of poll.

44.—(1) If a poll is demanded it shall be taken in such manner and at such place and time not being less than six nor more than thirty days from the day of the general court as the chairman of such general court shall direct. Poll.

(2) The result of a poll is deemed to be the resolution of the general court.

(3) In case of equality of votes at a poll the chairman of the general court as such has the casting vote.

(4) The demand of a poll does not prevent the continuance of a general court for the transaction of any business other than the matter respecting which the poll is to be taken.

(5) If on a poll about to be taken any two qualified members personally present require in writing the appointment of scrutineers then three scrutineers who must be qualified members qualified to vote shall be appointed one by the chairman of the general court and two by the qualified members present.

(6) The scrutineers must be afforded every facility for ascertaining the number and validity of votes given they shall report in writing the result of the poll to the chairman of the general court their report or the report of any two of them shall be conclusive and the chairman must declare the result of the poll in accordance therewith.

(7) Notice of the place and day of poll and of the polling hours shall be advertised in at least two London daily newspapers and in two local newspapers circulating in Essex and Suffolk five days at least before the day of poll.

[Ch. xiii.] *Essex and Suffolk Equitable Insurance* [6 EDW. 7.]
Society Limited Act, 1906.

A.D. 1906.

Scale of voting.

45. A qualified member being a shareholder shall have at a poll—

One vote for less than fifty shares :

Two votes for fifty shares or any greater number.

A qualified member not being a shareholder shall have at a poll one vote.

Proxy papers.

46.—(1) Votes at a poll may be given either personally or by proxy.

(2) A proxy is appointed by a written instrument in these articles called a proxy paper under the hand of the appointor or if the appointor is a corporation under its common seal.

(3) The proxy paper may be in the form set out at the foot of this article or to the like effect.

(4) A person cannot be appointed a proxy who is not a qualified member.

(5) The proxy paper must be delivered at the office of the Society forty-eight hours at least before the hour appointed for the general court or for holding the poll at which it is to be used.

(6) A vote given in accordance with the terms of a proxy paper shall be valid notwithstanding the previous death of the principal or the revocation of the proxy paper or the transfer of any share in respect of which the vote is given provided that no intimation in writing of the death revocation or transfer authenticated to the satisfaction of the directors shall have been received at the office before the general court or poll.

Form of Proxy Paper.

I being a qualified member of the Essex and Suffolk Equitable Insurance Society Limited hereby appoint _____ of _____ or failing him _____ of _____ or failing him _____ of _____ (all of them being members qualified to vote) as my proxy to vote at any poll which may be demanded at the general court of the Society to be held on the _____ day or at any adjournment thereof.

As witness my hand the _____ day of _____

Name _____

Address _____

Restriction on right to attend general courts and vote.

47. A qualified member is not entitled to be present at a general court or to vote if he is a bankrupt nor unless all calls due from him are paid nor is he entitled to be present at a general court or to vote in respect of any share acquired by him by transfer unless he has been registered in respect of that share at least three months before the general court or poll.

48. A qualified member (being otherwise entitled to vote) who is a lunatic or idiot may vote by his committee and such votes may be given by the committee in person or by proxy.

A.D. 1906.
 Votes of lunatics or idiots.

VI.—DIRECTORS.

49. The number of directors of the Society shall be twelve.

Number of directors.

50. A general court may from time to time vary the number of directors so that they do not exceed twelve.

Power to alter number of directors.

51. A person is not eligible as a director unless he is the holder of not less than fifty shares in the Society and also of a membership policy in the Society or is the holder of at least one share in the Society and also of a membership policy or policies in the Society to the amount of not less than four thousand pounds.

Qualification of directors.

52.—(1) At the annual general court held in the year 1907 and in every subsequent year four of the directors being those who have been longest in office shall retire from office and for the purposes of this article the existing directors of the Old Society are deemed to have been qualified and elected directors under these articles.

Rotation of directors.

(2) The annual general court shall supply the places of the retiring directors by the election of an equal number of qualified persons.

(3) A retiring director if qualified is eligible for re-election.

(4) Thirty days' clear notice in writing must be given to the secretary or other chief officer of the Society of the name of any person (other than a retiring director) intended to be proposed for election with a declaration in writing signed by that person of his willingness to serve if elected.

(5) In the event of any doubt or question arising as to the retirement of any director or directors the directors may from time to time prescribe the order of retirement and rotation of the directors and may vary the provisions of these articles as far as may be necessary for that purpose.

53. The directors shall receive as remuneration for their services in each year such sum as shall from time to time be fixed by a general court and that sum shall be distributed among them in such proportion and manner as the directors themselves shall determine.

Remuneration of directors.

54. A director may resign his office on giving one month's notice in writing to the directors of his intention to do so and his resignation shall take effect on the expiration of that notice.

Power for directors to resign.

55. The office of a director is vacated by disqualification if he ceases to hold the required qualification or becomes bankrupt or becomes of unsound mind or is absent from meetings of the directors for a period of six consecutive months without special leave of the directors

Disqualification for office of director.

[Ch. xiii.] *Essex and Suffolk Equitable Insurance* [6 EDW. 7.]
Society Limited Act, 1906.

A.D. 1906. — and a resolution of the directors declaring his disqualification as aforesaid is conclusive as to the fact and ground of disqualification stated in the resolution.

Power to remove directors. 56. The Company may by special resolution remove a director from office.

Casual vacancies among directors. 57. A casual vacancy among the directors occasioned by death resignation disqualification removal or otherwise may be filled by the directors if they think fit but the director so appointed shall hold office only until the next annual general court and should his appointment be confirmed at that court then he shall hold office so long as the vacating director would have been entitled to hold office.

Meetings of directors. 58.—(1) The directors shall meet for the despatch of business twice at least in each month and subject as aforesaid may meet adjourn and otherwise regulate their meetings and proceedings (including the fixing of a quorum for the dispatch of business) as they may see fit.

(2) The chairman or in his absence or incapacity to act the deputy chairman (if there be one) or any three directors may by written notice to the secretary or person performing the duties of secretary require a meeting of directors to be called.

Committees of directors. 59.—(1) The directors may delegate any of their powers to committees consisting of three or more members of their body as they may think fit but any committee so formed shall in the exercise of the powers delegated conform to any regulations imposed on them by the directors.

(2) A committee may elect a chairman of their meetings. If no such chairman is elected or if he is not present at the time appointed for holding the same the members present may choose one of their number to be chairman of such meeting.

(3) A committee may meet and adjourn as they may think fit and in case of an equality of votes the chairman shall have a second or casting vote.

Chairman and deputy chairman. 60.—(1) The directors at their first meeting after the annual general court in each year shall elect one director to be chairman of the directors and may if they see fit elect another to be deputy chairman.

(2) The chairman and deputy chairman shall hold office until the close of the meeting for the election of their successors.

(3) The chairman and deputy chairman shall be eligible for re-election annually.

(4) The chairman of directors shall be the chairman of the Society and in like manner the deputy chairman (if any) shall be the deputy chairman of the Society.

(5) If at any meeting of the directors the chairman be not present within ten minutes after the time appointed for the meeting the deputy

chairman shall take the chair but if there be no deputy chairman or if the deputy chairman be not then present the directors then present shall choose one of themselves to take the chair at that meeting. A.D. 1906.

(6) A casual vacancy in the office of chairman shall be filled as soon as conveniently may be by the directors not less than seven days' notice being served on the directors of the meeting at which it is proposed to fill the same and of the object of the meeting but if on a casual vacancy in the office of chairman the deputy chairman be elected to fill it the vacancy in the office of deputy chairman may be filled at the same meeting without specific notice.

(7) The director elected to fill such a casual vacancy holds office so long only as the vacating chairman or deputy chairman would have been entitled to hold office.

(8) The director in the chair at a meeting has in case of equality of votes a second or casting vote.

61. The directors may act notwithstanding any vacancy among the directors so long as there are at least seven directors competent to act. Power to act notwithstanding vacancy.

62. Every act of the directors or of a committee of directors or of any person acting as director is notwithstanding any defect in the appointment or any disqualification of any person party to or doing the act as valid as if there had been no such defect or disqualification. Validity of proceedings.

63. The directors may in addition to the powers and authorities by these articles expressly conferred on the directors exercise all such powers and do all such acts and things as can lawfully be exercised or done by the Society and as are not by any Act of Parliament or by these articles expressly directed or required to be exercised or done by a general court subject nevertheless to any new article from time to time made by the Society but no such new article can invalidate any prior act of the directors. General powers of Society vested in directors.

64. The directors may from time to time make alter and repeal regulations for the management of the business of the Society in all its branches and for regulating the duties and conduct of its officers and any other matters that require regulation:— Power of directors to make regulations.

Provided that—

- (a) A regulation inconsistent with any Act of Parliament or with the law of the place where it is to operate or with any provision of these Articles is ipso facto void:
- (b) Any regulation may at any time be rescinded by a special resolution of the Society.

VII.—MINUTES.

65.—(1) The directors shall cause minutes to be entered in proper books of the names of the directors present at each meeting of the directors and of each committee of directors of all orders made by the Minutes of proceedings of directors and of general court.

A.D. 1906. directors and by any committee of directors and of all resolutions and proceedings of meetings of the directors and of committees of directors and of general courts.

(2) These minutes are to be signed by the chairman of the meeting or of the next succeeding meeting.

VIII.—TRUSTEES FOR SOCIETY.

Power to appoint trustees
Resignation and removal of trustees.

66.—(1) The directors may from time to time appoint three or more persons (who may or may not be members of the Society) to be trustees and may cause the property of the Society whether real or personal or any part thereof to be invested in the names of such trustees or any three or more of them subject to the control and management of the directors.

(2) In the event of the number of trustees being reduced below three the directors shall fill up the vacancy within thirty days of the happening of such vacancy.

(3) The trustees of the Society for the time being shall if and when required by the directors execute such declaration or declarations of trust of or covenant as to dealing with the property (real or personal) of the Society which may at the time of executing such declaration or covenant or at any subsequent time or times be invested in their names as the court of directors shall deem advisable.

(4) A trustee may resign his office by notice in writing served on the directors and may be removed from his office by a resolution of the directors.

(5) A general court may assign to the trustees or to any one or more of them such remuneration as the court may resolve.

(6) The existing trustees of the Old Society shall be deemed to have been appointed trustees of the Society under the provisions of this article.

IX.—LOCAL BOARDS.

Appointment of local boards.

67.—(1) The directors may from time to time appoint such persons as they think fit to be a local board in any place in the United Kingdom or in India or in any British colony or dependency or in any foreign country with such powers duties and remuneration and subject to such regulations as the directors may from time to time determine.

(2) No special qualification shall be required for membership of a local board unless and until the directors by regulation prescribe a qualification.

(3) Any vacancy in a local board may be filled by the directors.

(4) Any local board may be discontinued and any member of a local board may be removed by the directors.

X.—ACCOUNTS.

A.D. 1906.

68. The directors shall cause full true and plain accounts to be kept of all sums of money received and expended by the Society of the matters to which the receipts and expenditure relate and of the property assets and liabilities of the Society.

Accounts to be kept.

69. At the annual general court in every year (but not at the first general court) after incorporation of the Society the directors shall lay before the Society a profit and loss account and a balance sheet containing a summary of the property and liabilities of the Society made up to a date not more than four months before the annual general court from the time when the last preceding account and balance sheet were made up or in the case of the first account and balance sheet from the incorporation of the Society.

Annual account and balance sheet.

70. A member of the Society has not any right of inspecting any account or book or document of the Society except as authorised by these articles or by the directors or by resolution of a general court.

Inspection of accounts and books.

71. Every such balance sheet shall be accompanied by a report of the directors as to the state and condition of the Society and as to the amount which they recommend to be paid out of the profits by way of dividend or bonus to the members and the amount (if any) which they propose to carry to any special fund and the account report and balance sheet shall be signed by two directors and countersigned by the secretary or other chief officer of the society.

Annual report of directors.

72. A printed copy of such account balance sheet and report shall at least seven days previously to the annual general court be advertised in two London daily newspapers and in two local newspapers circulating in Essex and Suffolk.

Copies to be advertised.

XI.—AUDITORS.

73.—(1) The accounts and balance sheet of the Society shall be examined and audited at least once in every year by a professional auditor or auditors who shall be appointed by the annual general court in every year.

Audit of accounts and appointment of auditors.

(2) A number not exceeding three of the members of the Society may also be appointed by the annual general court if the court think fit to act as members' auditors in conjunction with the professional auditor or auditors.

74. A person is not eligible as professional auditor unless he is a member of the Institute of Chartered Accountants in England and Wales or of some other association of professional accountants.

Qualification of auditors.

75.—(1) An auditor is re-eligible.

(2) The remuneration of the auditor or auditors shall be fixed by the annual general court and shall be paid out of the funds of the Society.

Re-eligibility and remuneration of auditors.

A.D. 1906.

Resignation of
auditors.

Casual vacan-
cies.

Right of access
to books of
Society.

Duties of
auditor.

76. An auditor may at any time vacate his office by sending in his resignation in writing to the directors.

77. In the event of a casual vacancy among the auditors the directors may appoint some person to fill the vacancy till the next annual general court.

78. The auditor or auditors shall at all reasonable times have the right of access to the Society's books accounts and vouchers and shall be entitled to require from the directors and officers of the Society such information and explanation as may be necessary for the performance of the duties of the auditor or auditors.

79. The auditor or auditors shall be supplied with copies of the account and balance sheet intended to be laid before the Society in general court and it shall be the duty of the auditor or auditors to examine the same with the accounts and vouchers relating thereto and to sign a certificate at the foot of the balance sheet stating whether or not all his or their requirements as auditor or auditors have been complied with and to make a report to the members on the accounts examined by him or them. In every such report the auditor or auditors shall state whether in his or their opinion the balance sheet referred to in the report is properly drawn up as to exhibit a true and correct view of the state of the Society's affairs as shown by the books of the Society and such report shall be read to the general court.

XII.—INVESTMENTS.

Power to
invest moneys
of Society.

80. The moneys of the Society so far as they are not required to satisfy the immediate claims on and expenses of the Society may be laid out and invested in or upon any security in which trustees are for the time being authorised by law to invest trust moneys but shall not be invested otherwise except by a resolution of the directors passed at a meeting at which not less than a majority of the whole board vote in favour of the resolution.

A resolution of the directors for the purposes of this article may be either a resolution authorising a particular investment or a resolution authorising a class or classes of investment.

XIII.—STOCK MEMBERS' FUND AND OTHER FUNDS.

Stock mem-
bers' fund.

81. The existing stock members' fund of the Old Society (being the paid-up capital of two thousand pounds) shall be continued and maintained by the directors under the name of the stock members' fund and if at any time that fund shall be reduced below two thousand pounds it shall as soon as reasonably practicable be restored to that amount by calling up instalments on the shares of the shareholders to such extent and in such manner as the directors may find necessary.

82. There shall be a fund called the general fund composed of all sums (including all profits realised from any investment) at any time received by the Society other than any sums which may be standing or carried to the credit of the stock members' fund or of any special fund formed under these articles. A.D. 1906.
General fund.

83. The general fund and any special fund formed under these articles shall together be primarily liable to and be the first fund or funds and the stock members' fund shall be secondarily liable to and be the only other fund for the payment of all policies or other assurances and of all dividends on shares and of all bonuses declared in respect of such policies and other assurances and of all the costs charges and expenses of the Society and resort shall not be had to the stock members' fund for or towards the payment of any policy dividend bonus or expense to which the general fund with any special fund is hereinbefore made primarily liable until the whole of the general fund and any special fund shall have been exhausted without prejudice nevertheless to the liability of the members in respect of their guarantee in the event of a winding-up. Relative liabilities of general and other funds.

84. Notwithstanding anything hereinbefore contained the directors may from time to time if they think it expedient in the interests of the Society form a special fund or funds for any special purpose and may carry to any such fund sufficient sums for its purpose out of sums which would otherwise have been carried to the general fund and may discontinue any fund so formed. Power to form special funds.

XIV.—DISTRIBUTION OF PROFITS.

85.—(1) As soon as may be after the thirty-first day of December in every year the directors shall (after making such reserves as they may deem desirable) determine the amount of profit (if any) to be declared divisible. Application of divisible profits.

(2) Such profit shall be applied—

First In paying a dividend at the rate of five per centum per annum on the amount for the time being paid up on the shares of the shareholders:

Secondly In paying subject to the proviso next hereinafter contained such bonus as the directors may determine in respect of all membership policies which at the date of distribution have remained in force for the five immediately preceding years without any claim having been made or any bonus having been paid on them during or in respect of such period of five years with full power for the directors from time to time in their discretion to allocate and pay different rates or amounts of bonus in respect of different classes or descriptions of membership policies Provided that whenever at any such distribution the bonuses payable in respect of membership

A.D. 1906.

policies in the fire insurance department shall amount to fifty per cent. of the aggregate of the premiums paid under such policies during such period of five years the directors may if they see fit pay a further dividend on the shares of the shareholders in excess of the five per cent. above referred to Successive membership policies insuring the same property during any such period of five years as aforesaid are entitled to rank for the purposes of this article as a membership policy having remained in force during such period.

Power to pay interim dividend.

86. The directors may from time to time pay to the shareholders by way of interim dividend such portion of the dividend of five per cent. as in their judgment the position of the Society justifies.

Evidence of title to share of profits.

87. The directors before paying any share of the profits may if the circumstances of the case appear to the directors to make it expedient require evidence by statutory declaration or otherwise as the directors think fit of the title of any person claiming a right to receive the same.

Unclaimed dividends and bonuses.

88. No dividend or bonuses shall bear interest against the Company.

XV.—OFFICE AND OFFICERS.

Business premises.

89. The principal office of the Society shall be in Colchester and the directors shall provide and maintain suitable buildings for the purposes of that office and of such other offices elsewhere as they may from time to time think fit.

Power to appoint and remove officers.

90. The directors may from time to time appoint such officers agents and servants of the Society as they may deem necessary and may assign to them their duties and fix their salaries or remuneration which shall be paid out of the funds of the Society and may remove all or any of them as the directors may think proper.

Power to grant superannuation allowances &c.

91. The directors may if they see fit grant to any officer other than a director or servant on his retiring from or leaving the service of the Society a superannuation or retiring allowance or a gratuity to be paid out of the funds of the Society they may also if they see fit establish or contribute out of the funds of the Society to a superannuation or provident fund for the benefit of the officers and servants of the Society.

XVI.—INDEMNITY OF DIRECTORS AND OFFICERS.

Indemnity of directors and officers.

92. Every director and trustee of the Society is entitled to be indemnified out of the funds of the Society against all costs charges losses damages and expenses which he incurs or is put to on account of any contract act deed matter or thing made done entered into or executed by him on behalf of the Society and to be reimbursed by the Society all reasonable expenses incurred by him in or about any

legal proceedings or arbitration on account of the Society or otherwise A.D. 1906.
in the execution of his office except such costs charges losses damages
and expenses as happen through his own wilful neglect or default.

93. A director trustee or other officer of the Society is not chargeable for any money not actually received by him nor is he answerable for the act receipt neglect or default of any other director trustee or officer or of any banker broker collector agent or other person appointed by the directors with whom or into whose hands any property or money of the Society is deposited or comes or for any defect in the title to property from time to time purchased leased or taken by order of the directors on behalf of the Society or for the insufficiency of any security on which any money of the Society is advanced or invested by order of the directors or for any loss or damage happening in the execution of his office unless that loss or damage happens through his own wilful neglect or default.

Limitation of
responsibility
of directors
and officers.

XVII.—NOTICES.

94. A notice may be served by the Society on any member whose place of address appears by the books of the Society to be in the United Kingdom either personally or by sending it through the post in a prepaid letter addressed to him there.

Service of
notices.

95.—(1) Any member whose place of address is not in the United Kingdom may from time to time notify in writing to the Society some place of address in the United Kingdom to be his address for service.

Address for
service of
members resi-
dent abroad.

(2) A notice may be served by the Society on him by sending it through the post in a prepaid letter addressed to him there.

(3) Any such member who for the time being has not notified as aforesaid an address for service is deemed to have waived service of notice.

96. A notice sent by post is deemed to have been served at the time when the letter containing it would be delivered in ordinary course of post and in proving service it is sufficient to prove that the letter containing the notice was properly addressed and posted.

When notice
by post deemed
to be served.

97. Any notice on behalf of the Society or of the directors is sufficient if purporting to bear the signature of the secretary or other duly authorised officer of the Society.

Authentica-
tion of notice.

XVIII.—MISCELLANEOUS.

98.—(1) Policies of assurance and other documents (other than cheques) granted by or on behalf of the Society within the United Kingdom shall be valid and bind the Society if signed by one of the directors or by one of the members of a local board or by any other person or persons duly authorised in that behalf by a minute of the directors and policies of assurance and other documents (other than cheques bills or

Signature to
policies and
other docu-
ments at home
and abroad.

A.D. 1906. — other negotiable instruments) granted by or on behalf of the Society out of the United Kingdom shall be valid and bind the Society if signed as aforesaid or by any agent or agents of the Society duly authorised in that behalf and appointed by power of attorney executed by two or more of the directors.

(2) Cheques and orders on the Society's bankers shall be well and sufficiently signed if signed by two directors or by two members of a local board or by any officer of the Society authorised in that behalf by the directors.

Contract of assurance deemed to be effected on payment of premium.

99. A person effecting an assurance with the Society is considered as assured for all purposes by the Society as soon as he has paid the first premium or a deposit in respect of the premium on the policy contracted to be granted to him although the policy itself has not been actually issued.

XIX.—DISSOLUTION.

Provisions in event of voluntary winding-up.

100.—(1) In the event of the voluntary winding-up of the Society the directors may make such provision as may appear to them to be equitable for the officers of the Society and its agents and representatives, and may with that object contract with and pay to any other company society or institution of sound financial standing such sums as may be necessary to provide for the due payment of any annuities superannuation allowance or other similar obligation of the Society.

(2) When all the liabilities of the Society have been provided for any surplus assets shall be distributed as follows:—

- (i) In return to the shareholders of their paid-up capital together with any dividend accruing due up to the date of the winding-up:
- (ii) In payment to the holders of membership policies of a bonus not exceeding fifty per centum of the premiums paid by them respectively since the payment of the previous bonus on their respective policies:
- (iii) In payment to the shareholders of any balance remaining after payment to the holders of membership policies [of a bonus of fifty per centum of the premiums paid by them] as aforesaid.

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